Presentation of "The Dynamics of Relief Spending and the Private Urban Labor Market During the New Deal" by Todd C. Neumann, Price V. Fishback & Shawn Kantor (2010)

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CONTEXT: HOW DOES THE PAPER RELATE TO THE LECTURE MATERIAL?

- The paper discusses the effects funding New Deal programs had on public employment and the private labor market.
  - Analyzes the correlation between relief spending and employment levels
    - Calls back to our knowledge of active labor market policies

QUESTION: WHAT IS THE RESEARCH QUESTION ADDRESSED BY THE PAPER?

- How did relief spending during the New Deal impact private labor markets, particularly in terms of employment, earnings, and economic recovery?
  - Did relief spending stimulate private employment, or did it crowd out private sector jobs?
  - How did relief spending affect private earnings and wages?
  - Was relief spending influenced by political considerations (i.e. election cycles)?

ANSWER: WHAT ARE THE MAIN ELEMENTS OF THE ANSWER TO THE RESEARCH QUESTION?

1. **The Effect of Relief Spending on Private Employment**
    a. 1st ND: Stimulated private employment; inc consumer spending led to higher demand for goods & services, led to inc employment
    b. 2nd ND: WPA had opposite effect; inc relief spending made public-sector more attractive, led to crowding out, displacing private-sector workers
2. **The Effect of Relief Spending on Private Earnings**
    a. Relief spending inc private wages to compete with gov't jobs at the cost of employment levels dec to support higher labor costs
3. **Political Timing of Relief Spending**
    a. Pattern of inc spending during election years (shows other possible implications to relief spending)

GRAPHICAL ILLUSTRATION OF THE ANSWER TO THE RESEARCH QUESTION

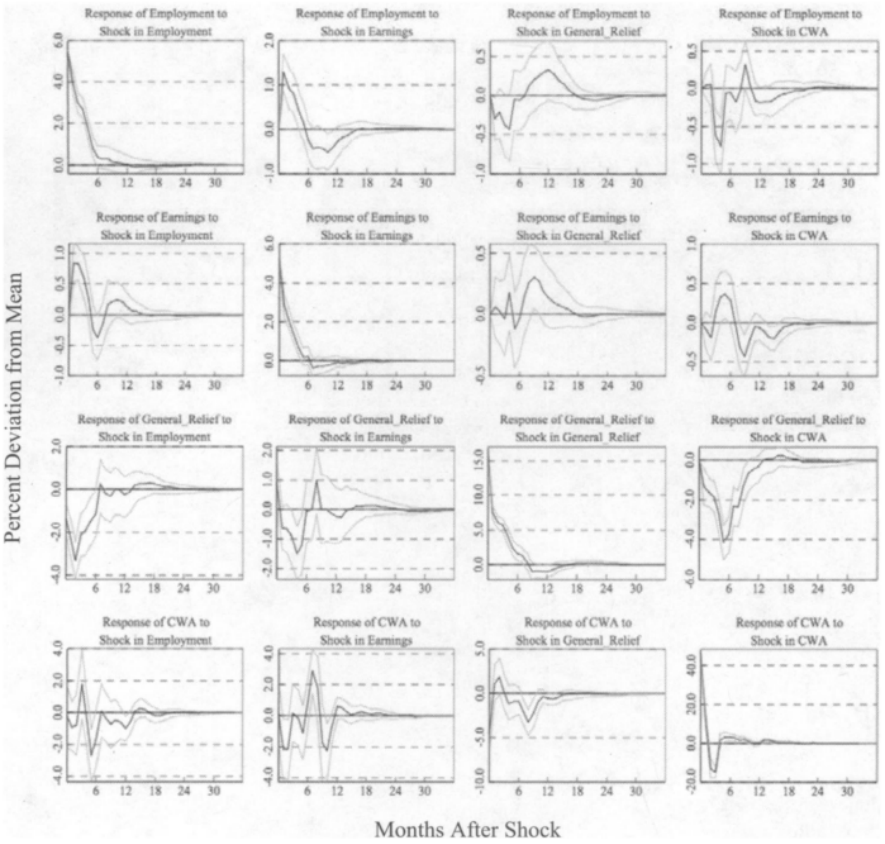

FIGURE 2
IMPULSE RESPONSES TO A ONE-STANDARD-DEVIATION POSITIVE SHOCK AT TIME ZERO—SPECIFICATION 1

GRAPHICAL ILLUSTRATION OF THE ANSWER TO THE RESEARCH QUESTION

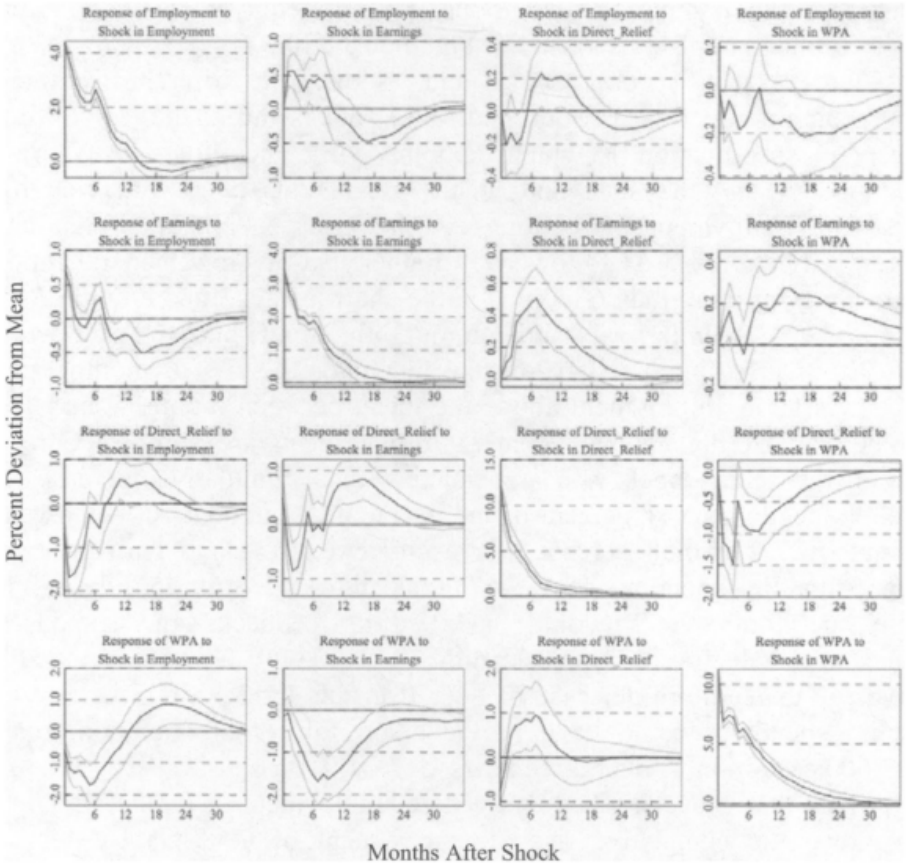

FIGURE 3
IMPULSE RESPONSES TO A ONE-STANDARD-DEVIATION POSITIVE SHOCK AT TIME ZERO—SPECIFICATION 2

GRAPHICAL INTERPRETATIONS

- (Figure 2) First New Deal
  - Shows general relief shocks increased employment and earnings for ~16 months before returning to the mean
- (Figure 3) Second New Deal
  - Shows earnings increased with increased WPA spending and a direct relief shock, which lasted far longer before returning to the mean

POSITIONING: HOW DOES THE MATERIAL IN THE PAPER CONTRIBUTE TO THE PREVIOUS LITERATURE?

- References mixed results from other similar studies using cross-sectional data; reason to switch to monthly panel data and Panel Vector Autoregression (VAR)
  - Wallis & Benjamin, 1981 & Fleck, 1999 - Both found no relationship between relief spending and employment rates
- Clarifies the discovered changed effects of relief spending (stimulus vs crowding out)
  - Bernanke 1986 - Time series analysis found relief to have no effect on labor markets
- References implications of political agendas underlying in relief spending
  - Howard, 1943 - discovered WPA spending peaking before elections and dropping afterwards

CONCLUSION

- With using monthly panel data they discovered differing effects in the short and long run with employment levels and private labor markets
  - Increased employment in the short-run and decreased in the long-run
  - Increased private wages in the long-run
- Something to improve, including rural areas into the data could show possibly different effects compared to urban cities